

Journal of Financial Crises

Volume 6 | Issue 4

2024

Lessons Learned: Jason Cave

Vincient Arnold

YPFS, Yale School of Management

Greg Feldberg

YPFS, Yale School of Management

Follow this and additional works at: <https://elischolar.library.yale.edu/journal-of-financial-crises>



Part of the [Banking and Finance Law Commons](#), [Economic History Commons](#), [Finance and Financial Management Commons](#), [Policy Design, Analysis, and Evaluation Commons](#), [Policy History, Theory, and Methods Commons](#), [Public Administration Commons](#), and the [Public Economics Commons](#)

Recommended Citation

Arnold, Vincient and Feldberg, Greg (2024) "Lessons Learned: Jason Cave," *Journal of Financial Crises*: Vol. 6 : Iss. 4, 141-146.

DOI: <https://doi.org/10.17132/2693-3179.1603>

Available at: <https://elischolar.library.yale.edu/journal-of-financial-crises/vol6/iss4/5>

This Lessons Learned is brought to you for free and open access by the Journal of Financial Crises and EliScholar – A Digital Platform for Scholarly Publishing at Yale. For more information, please contact journalfinancialcrises@yale.edu.

READERS TAKE NOTICE:

As of April 2024, the YPFS Resource Library's site domain has changed to <https://elischolar.library.yale.edu/ypfs-financial-crisis-resource-library/>.

Please be aware that upon clicking any of the URL references to the former Resource Library domains, either <https://ypfs.som.yale.edu> or <https://ypfsresourcelibrary.blob.core.windows.net/>, in the "References/Key Program Documents" section of a case study, readers will encounter a "page not found" error.

Readers can still retrieve a given resource cited within this case study on the [new site](#) by searching [here](#) for the title cited.

Yale Program on Financial Stability

Lessons Learned

Jason Cave

By Vincent Arnold and Greg Feldberg

Jason Cave was the senior adviser to the chairman of the Federal Deposit Insurance Corporation (FDIC) from 2008 to 2011 and the deputy director of the Division of Complex Financial Institutions at the FDIC from 2011 to 2013.

This Lessons Learned summary is based on an interview with Cave held on April 8, 2024. During the interview, Cave discussed the so-called ring-fencing arrangements planned, considered, or executed between various agencies of the US government—the Federal Reserve, Department of the Treasury, and FDIC—and three banks: Wachovia, Citigroup, and Bank of America. These arrangements, sometimes referred to as wraps or risk shields, were agreements through which the government parties would guarantee a designated pool of assets, subject to some loss-sharing amounts. For example, a bank might agree to take the first \$10 billion in losses on the asset pool, after which any losses would be borne 90% by government parties. These arrangements were meant to provide confidence in the banks by setting a floor on the losses they could suffer from asset impairments. The full transcript of the interview may be found [here](#).

When regulators are faced with time-critical crises and limited resources, guarantees can maximize crisis-fighting dollars more than asset purchases, but they do have some shortcomings.

During the Global Financial Crisis of 2007–2009 (GFC), financial regulators in the United States had limited resources to deploy through the Exchange Stabilization Fund (ESF) and, later, the Troubled Assets Relief Program (TARP). Beginning with the fall of Wachovia, during the weekend of September 27–28, 2008, the “troika” of authorities—the Federal Reserve Bank of New York (FRBNY), Treasury, and the FDIC—began to craft asset guarantee programs (also known as ring-fencing arrangements) on an ad hoc basis to maximize resources. Although Wachovia was acquired by Wells Fargo without a ring-fencing arrangement, Cave explained that the structure was later used in connection with Citigroup (Citi) and Bank of America (BofA).

In November 2008, the government was concerned that the failure of Citi would further aggravate deterioration of the financial system, given the firm’s position as a major counterparty and payment interface. For these reasons, the troika decided to invoke the FDIC’s systemic risk exception, which allowed the agency to avoid the “least-cost resolution” requirement under its governing law.

The parties decided to use a ring-fencing arrangement similar to what had been discussed for Wachovia rather than restructuring and recapitalizing Citi, while transferring its troubled assets to a new bank for liquidation, along the lines of a traditional good bank–bad bank workout. According to Cave, the FDIC favored a traditional good bank–bad bank arrangement, but “the Treasury, and I think particularly the New York Fed, . . . didn’t think you’d get enough bang for the buck” with that approach. A good bank–bad bank arrangement

also would have caused losses to shareholders and other nonguaranteed depositors, many of whom were foreign investors, further testing the weakened financial system, Cave related.

Despite the size of the TARP (\$700 billion) and the ESF (\$40 billion), government officials were concerned about the unknowns and how best to leverage the funds to address the quickly developing crisis. Cave explained:

Think about it from a leverage standpoint. . . . [You've] got to use a dollar to take a dollar out. That dollar's gone. And again, we don't know how big this is going to be. We don't think we're going to be able to go to the well again [for more money from Congress]. We need to be able to take that Treasury dollar and get eight bucks out of it or something. Or even think about these guarantees that were never called upon. Unlimited. That was a big difference. It didn't mean that we disagreed that there was an issue with the assets. It was how to best really employ these [Treasury dollars].

Under the ring-fencing arrangement, government regulators agreed, for a fee, to "insure," or cover losses on a specified pool of \$306 billion of Citi assets, with Citi absorbing the first \$37 billion (the expected losses) from the pool. The next losses would be shared by Citi, the FDIC, and Treasury, with the FRBNY providing financing to Citi for losses in excess of \$53.7 billion.

The ring-fencing arrangement was attractive to authorities operating in a low-information environment. Cave described the challenges in getting the agencies to agree, which they ultimately did, with the Fed agreeing to take the "tail risk" (highly unlikely losses on the asset pool). Cave said the Fed's participation helped bring the FDIC on board. "Financially, did it change anything? No, but it just helped." According to Cave, the guarantees had a positive signaling effect on the markets. Also, he said, the Citibank arrangement stoked the idea that guarantees were "a better way to use a dollar."

By the time BofA needed assistance in mid-January 2009, roughly two months after Citi's ring-fencing arrangement had been announced, Cave related, the government was quick to deploy the structure it had used for Citi, even though the BofA facility proved more challenging because of the complexity of its asset pool. BofA did not complete the ring-fencing arrangement. However, in both its case and Citi's, the announcement of the program helped stabilize the company and contain further contagion to the greater financial system that its failure might have caused.

In each instance, an advantage of the structure was that it could be stood up quickly by authorities and announced over a weekend, providing almost immediate assurance to markets, while leaving ample time in the following weeks to decide exactly which assets would be eligible for the guarantee. Further, given that the extreme losses were unlikely (and, to some degree, endogenous to the ring-fencing arrangement and other government assistance), the guarantee structure leveraged each dollar of ESF or TARP funding in ways that direct asset purchases would not have.

However, Cave also said that the ring-fencing arrangements were operationally complicated to finalize. Their opacity and complexity can militate against their effectiveness and practicality, he said, so he wouldn't recommend asset guarantees as a standard approach to

crisis management. In the end, while ring-fencing arrangements were proposed for Wachovia, Citi, and BofA, only Citi ever used one (and it took many months for authorities and Citi to finalize the asset pool—for an arrangement that lasted roughly one year). When asked if the Citi ring-fencing arrangement was a “good deal” for the government, Cave responded:

No, it wasn't. I don't think it was worth doing. . . . [It was] way too complicated. . . . These things were always way too complicated, partly because I think we were taking a lot of advice from the institutions, who I don't think were very good at thinking through these things.

Even when liquidity assistance may be unnecessary or unlikely, providing it can produce strong signaling effects both to other members of the government and to the public, which can stabilize markets and enhance confidence.

The Fed's financing of the residual losses on any proposed asset pools was absent from the original Wachovia ring-fencing arrangement plan (though, according to Cave, there was an implicit hope that—had the losses exceeded ESF resources, which was possible, if not likely—the Fed would have provided a loan facility to the Treasury). By the time Citigroup's ring-fencing arrangement was discussed among government officials, it was understood that Citigroup's expected losses would almost certainly not breach the FDIC's loss layers and necessitate further lending. Nonetheless, Cave recalled, the Fed agreed to provide financing on the rest of the asset pool, more as a way to demonstrate intragovernmental unity than to prepare for a likely loss outcome:

From what I remember being in the discussions with the principals, it was really this issue of, once again, the FDIC saying, “We're the last ones being brought into the discussions, we're the first ones taking the losses after Citi's first loss, and we don't think that their first loss piece is big enough. But also, we haven't had nearly as much time to analyze the portfolio; we don't like being brought in late and then being the first ones taking it.” So [there was] that resistance [from the FDIC]. So, then Treasury [was] saying, “Well, fine. We'll take that first tranche and then you come in.” There was just a lot of angst going on, and I remember it. And [Fed Chairman] Ben Bernanke said, “We'll come in and do a nonrecourse loan on the tail.” And it was not a risk weight thing, it was a good sign we're all in this. . . . And it helped. Again, financially and all of that, did it change anything? No, but it just helped.

According to Cave, the strong united front also communicated a positive message to the markets, giving them some comfort. Ring-fencing is a way for the government to say, “We've got this.”

In designing interventions, authorities should be cognizant of the heterogeneity of their own and other's mandates, which may differ. When collaboration is required in designing and executing an intervention, such asymmetries can complicate response efforts.

While bank supervisors focus on promoting the safety and soundness of financial institutions, central banks have the broader responsibility to promote financial stability for the system as a whole, and deposit insurers have the additional responsibility to oversee the use of financial resources to protect depositors in failed institutions. In this case, while Treasury and Fed leadership were eager to stand up the ring-fencing arrangements to reassure markets in the interest of financial stability, the FDIC had a statutory responsibility to ensure that any intervention presented the least-cost solution for the FDIC's Deposit Insurance Fund (DIF). Under US laws, the FDIC's participation required the invocation of the systemic risk exception, which would permit the agency to forgo the least-cost requirement. As Cave related, the FDIC leadership was not at first entirely comfortable with that structure:

This is a systemic risk exception, but we're now dealing with open bank assistance, which we were like, "Oh. We're not in that business anymore."¹ It was more of, "How do we really make sure we are protected because this is a different animal?"

FDIC leadership also worried that, had their loss-protection layers been breached and the FDIC been forced to use the DIF to provide loss-sharing payments to the ring-fencing arrangement recipients, it would be countercyclical, given that the US banking industry funded the DIF. Cave said:

The other thing that you have to understand that is really important is our management and stewardship of the fund. If we just went along with all those things and we said to the American Bankers Association, "Guess what? Pony it up." Don't forget the rest of the industry is sucking wind, and we're closing them left and right, and then we're going to say, "Yeah, but you have to pay." We'd have been crucified. We're just stewards of the fund. And you have to understand, we also were accountable to Congress for the management of the fund, but also to all these other institutions that would've had to pay for Citi's losses.

Cave said that the Fed and Treasury never would have supported a good bank-bad bank resolution because of the nature of their institutional roles.

This Citi discussion would've been difficult for anybody. And the other side [the Fed and Treasury], where the folks that had truly the financial stability hat on, [would have been] like, "Are you crazy?" And so, a lot of this tension that gets talked about, I think it would've been there regardless of who were in the seats.

In fact, the FDIC's leadership had, Cave said, at numerous points, suggested that the government take a different approach to the ring-fencing arrangements, such as a restructuring. As he explained:

¹ "Open bank assistance" refers to government financial assistance to a bank that allows the bank to remain open. It was common during the savings and loan failures of the 1980s.

And then all of a sudden, the idea was that what we had done with TLGP,² with TARP, it wasn't enough, that Citi still needed help. If we'd just done TARP, we'd given them \$25 billion like everybody else. We'd also guaranteed probably hundreds of billions of their debt [through the TLGP]. If this is still not enough, maybe we need to start taking real actions. Maybe we need to start looking at a resolution, a true restructuring. . . . Once you started to talk about people taking losses, you lost Citi clearly, and also Treasury, Fed, and [the Comptroller's Office]. And it really became: "Who's going to take the hit?" And in their mind, it was no one. In our mind, somebody should, and it's either going to be done through a resolution or some sort of a restructuring where debt holders all have to get real. And we were never able to bridge that. The FDIC's view was also, from a very parochial standpoint, this is not our problem.

The FDIC, among other regulators, though, eventually recognized that the cross-jurisdictional resolution of a globally systemic bank over a weekend would not have been realistic. Nonetheless, the proposal was valuable to the FDIC's leadership, to the extent that it highlighted the more fundamental choices at play, particularly with respect to Citigroup. Asked whether or not the global resolution of Citi would have been "feasible in the practical sense," Cave responded:

No. I mean, it would not have been. I would say what it really was a strategy of, we think debt holders at this point needed to start to become involved and take some losses, and so it began the process of, "Boy, we don't want to be here again" à la the resolution. . . . But again, from the parochial [view], if we have an insured depository institution [IDI], a very large IDI [like] Citi, that we can put in resolution, and if you just close it, then we can do this and not take losses. And so, it was important, too, for the rest of the government to understand according to [the strict rules] that's what we should have done, and it could have been done.

Compared with the FDIC's traditional resolution process, the ring-fencing was extremely complicated and required the agency to take on risk it wouldn't have normally, while protecting uninsured depositors and shareholders. Cave recalled the challenge of determining what was to be in the BofA asset pool:

Citi was mortgages and [residential mortgage-backed securities], pretty basic stuff. I mean with BofA, you're dealing with synthetics, you're dealing with credit-linked notes. . . . There was a lot of that, not all, but a lot of that. . . . It was just a very, very complicated mix of, I wouldn't even call them assets, of exposures.

Understanding each agency's different viewpoints and concerns upfront (even before the crisis) may help facilitate reaching interagency solutions more expeditiously, especially when they are as novel and complicated as the ring-fencing arrangements were.

² The FDIC's Temporary Liquidity Guarantee Program, announced on October 14, 2008, guaranteed newly issued debt for banks and bank holding companies through the Debt Guarantee Program and noninterest-bearing transaction deposit accounts through the Transaction Account Guarantee Program.

It's important for the authorities to share information with one another.

Cave said that FDIC staff often felt that the Fed and Treasury were not involving them in key discussions or sharing information with them in a timely manner. This dynamic began during the Wachovia transaction, he said: "It poisoned the well for many of the remaining government discussions, the feeling that we at the FDIC were not getting the full story. There were many other discussions going on that we should have been privy to, given that our fund was often called upon."

Dated: December 2024

YPFS Lessons Learned No. 2024-04